NASDAQ-100 FUTURES · OVERNIGHT

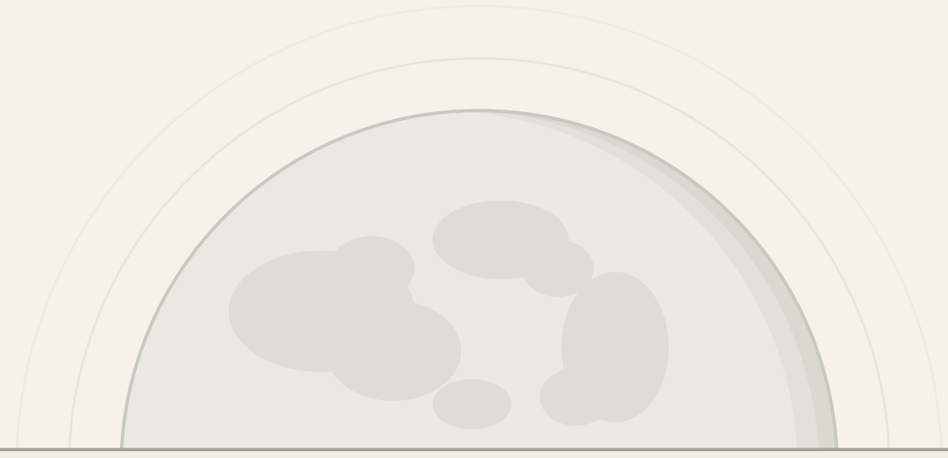
Nocturne.

A gold anomaly, moved to the Nasdaq-100 future, passed its first out-of-sample test. The second said no.

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DATE
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VERDICT
Passed the first out-of-sample test, not the second



Hypothetical results, simulated on historical data. Not investment advice.

THE IDEA

Gold earns at night.

Blose, Gondhalekar and Kort (2018) find it across COMEX gold futures, spot gold, mining stocks and gold funds. Their reading: opening prices are set too high and drift lower during the session.

Night	Day
significantly positive	significantly negative

THE QUESTION

Does the paper's overnight rule hold up on the Nasdaq-100 future?

Blose, Gondhalekar and Kort (2018), Journal of Economics and Finance.

THE MOVE

From gold to equities.

The paper’s rule, long overnight and flat by the New York morning, was run unchanged across liquid futures markets.

IT HELD UP ON THREE EQUITY-INDEX FUTURES

- Nasdaq-100
- S&P 500
- Dow

followed here, on 5-minute bars

On the Nasdaq-100, the gold explanation does not carry over.

Equities have their own documented overnight premium (Lou, Polk and Skouras, 2019): the rule may simply be harvesting that.

THE RULE

In at night, out by day.

Long only, one contract. A filter, re-entries and exit management were then selected on development data only; they are not shown here.





THE EVIDENCE

One window said yes. The next said no.

t-statistic of daily net results

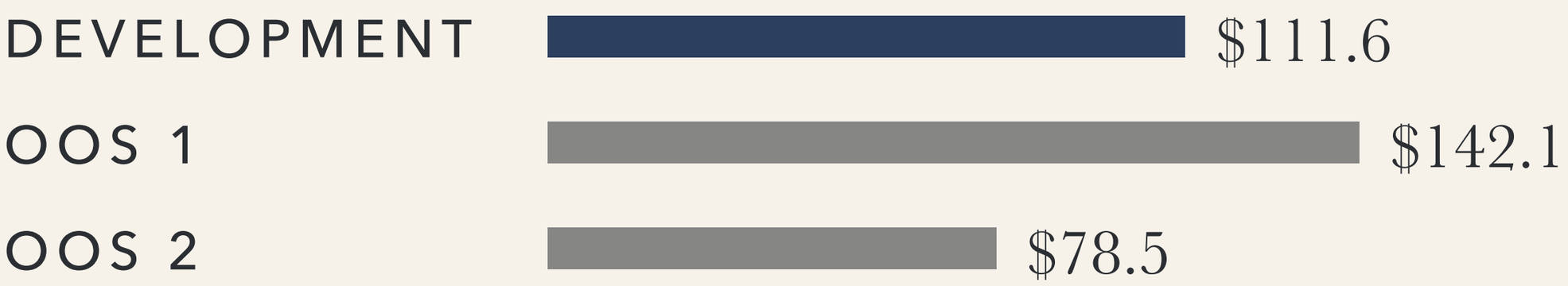


Each out-of-sample window was opened once, with rules and thresholds fixed in advance. Of seven variants of the idea tested together, this was the only one to pass the first. With costs doubled, the development t is 4.70.

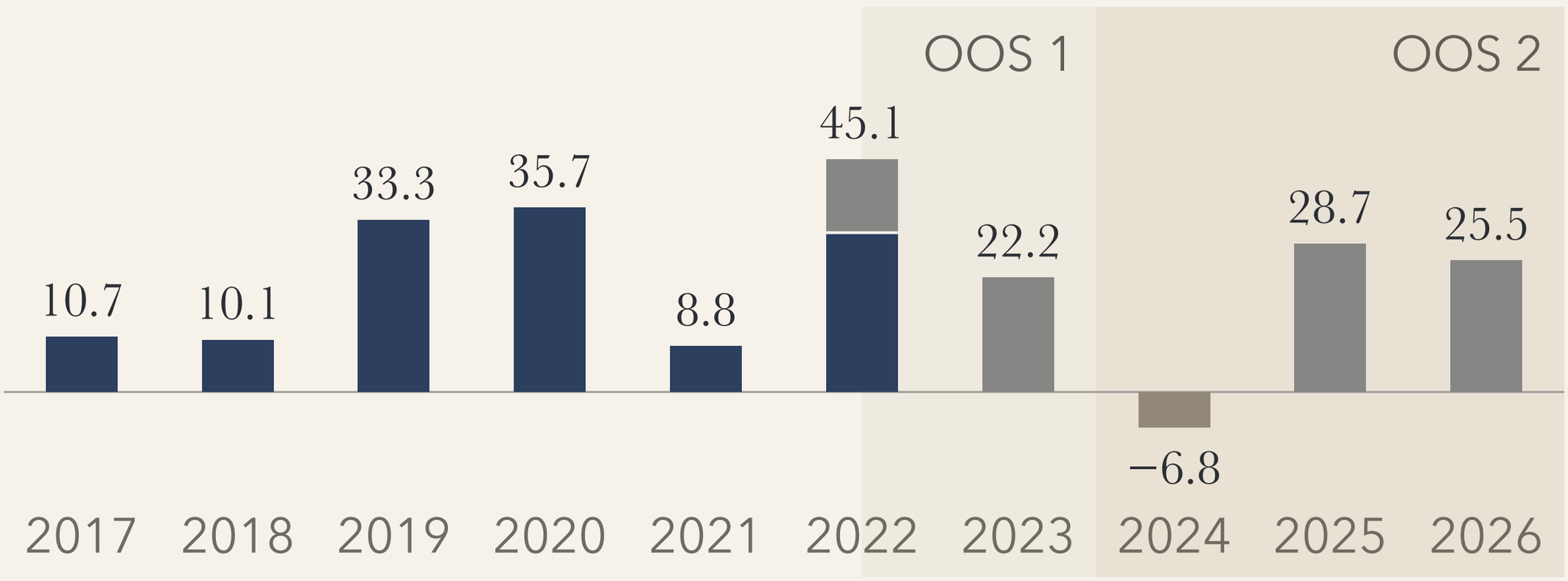
A CLOSER LOOK

Thinner in the second window.

Average net profit per trade



Net profit per year, $ thousands



Still positive, but 2024 lost money, and two of the three worst nights fell in the August 2024 and April 2025 sell-offs. The last year runs to September.

WHAT I TAKE AWAY

Four lessons.

1 **Count every trial.**

About 7.3 million configurations were counted. Corrected for them, the development t of 5.10 is not significant, so both windows were exploratory tests.

2 **One pass is not validation.**

Seven variants went through both windows: one cleared the first threshold, none the second.

3 **Know what you are harvesting.**

On the Nasdaq-100 the edge may simply be the equity overnight premium, not the gold anomaly.

4 **Test the edges.**

Sensitivity checks rated it fragile: one small step away from the chosen settings, it loses money.

THE VERDICT

Not confirmed.

It cleared the first out-of-sample threshold, not the second. It stays positive, with thinner margins.

After millions of trials, a t of 5 is a reason to verify the result, not a reason to believe it.

The next clean test: data after 23 September 2026, rules frozen, pass criteria written down before it starts.

IMPORTANT INFORMATION

Hypothetical results, simulated on historical data with estimated costs. No actual trading took place. Simulated results have inherent limitations and are not indicative of future results. Not investment advice. The author trades equity index futures for his own account; nothing here is a recommendation to buy or sell any instrument.

WRITTEN BY

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Research note · October 2026

SOURCES

Blose, L. E., Gondhalekar, V. & Kort, A. (2018). Overnight versus Day Returns in Gold and Gold Related Assets. Journal of Economics and Finance, 42(3), 526–549.

Lou, D., Polk, C. & Skouras, S. (2019). A Tug of War: Overnight versus Intraday Expected Returns. Journal of Financial Economics, 134(1), 192–213.

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